

How VetPath pays for itself - the honest playbook

One rule shapes everything below: **free for veterans, always.** That rule closes one door (charging the people we serve), and it is also our strongest asset with every funder on this list. Dollar figures are realistic placeholders drawn from published grant data and market comparables - verify each before building a budget on it.

1 The entity fork comes first - it gates everything else

Profit vs. nonprofit is not a philosophy question. It is a question of **which doors you want open.** Each funding option below is tagged with the structure it requires.

Structure	What it opens	What it closes	Cost & timeline
501(c)(3) nonprofit NP	Foundation grants, state veteran-assistance grants, most VA grant programs, tax-deductible donations, corporate giving, volunteer/AmeriCorps labor. Earned revenue (org licensing) is still allowed if mission-related.	Equity investment. Founders don't own it - a board governs it. Slower to change direction.	TX incorporation ~\$25; IRS Form 1023-EZ \$275 (small orgs) or 1023 \$600. Roughly 1-6 months to determination.
For-profit (LLC / C-corp) FP	DoD SBIR/STTR contracts (for-profit small businesses only), equity investment, fast decisions, founders own it. B2B revenue keeps veterans free.	Nearly all foundation and state veteran-assistance grants. Tax-deductible gifts. Some partners read "for-profit" as a trust question.	TX LLC ~\$300, days to form. No IRS process.
Fiscal sponsorship BRIDGE	Grant-ready in weeks: an existing 501(c)(3) receives funds on your behalf while you operate. Standard fee 5-10% of funds raised. Lets you test the nonprofit path before committing.	Sponsor holds the money and some control. Not all funders accept sponsored projects.	Weeks. Fee only, no formation cost.
Hybrid (both, later) BOTH	A for-profit builds the product; an affiliated nonprofit receives grants and serves veterans. Common in this space, workable.	Double the admin, real legal care needed on money flowing between the two. Not a year-one move.	Add ~\$2-5k/yr accounting + legal overhead.

Market reality check: of the tools on our competitive landscape, Combined Arms and PATRIOTlink are nonprofits; AI Ready Veteran is for-profit and charges veterans ~\$195/yr - which is exactly the position we chose to run against.

2 Option A - Outside fundraising (grants + philanthropy)

NEEDS 501(C)(3) OR SPONSOR

Source	Real numbers (published)	The catch	Realistic for us
State veteran agencies - e.g. Texas Veterans Commission, Fund for Veterans' Assistance	~\$30M/yr pool across grant types; individual General Assistance awards commonly \$200k-300k to local veteran-serving orgs.	Annual RFA cycle; needs a Texas footprint, measurable outcomes, and usually some operating history. This is literally "government pays so vets don't" at state level.	\$50-150k/yr year 2-3, after pilot data
Veteran-focused foundations - e.g. Bob Woodruff Foundation	Grants \$5k-500k , ~ \$100k average ; \$6.5M+ distributed in their spring 2026 round alone.	BWF requires two years of IRS 990s and \$50k+ gross receipts - young orgs wait. Other funders (Schultz, Newmark, Wounded Warrior partner grants) have similar maturity bars.	\$25-100k/yr year 2-3
Federal VA grants - e.g. SSG Fox suicide-prevention program	Up to \$750k/yr per entity; VA has awarded \$52.5M in a cycle.	Scoped to specific outcomes (SSG Fox is suicide prevention - adjacent to us, not core). Federal reporting burden is real. A stretch target, not a base plan.	\$0 early ; long-shot upside later

Corporate sponsorship - veteran-facing brands, DFW employers	National programs (USAA, Home Depot Foundation, Comcast, Boeing) run eight-figure veteran budgets; local sponsorships realistically \$5k-50k each.	Wants logo placement and reach numbers. Underwriting ("supported by X") preserves trust; ads and data-sharing do not - see the red lines in section 5.	\$10-40k/yr reachable year 1-2 via Frank's + Kaleb's networks
Individual giving / crowdfunding	Small unless a story catches - typical community campaigns land \$5-25k .	Cheap to try, real effort to sustain. Best as a pilot-moment push ("fund the first 100 gameplans"), not a base.	\$5-15k one-time

Honest math: philanthropy is mostly closed in year 1 (no entity, no history) and opens meaningfully in years 2-3 *if* the pilot produces countable outcomes: veterans served, plans completed, benefits reached. The pilot is not just product testing - it is the grant application.

3 Option B - Charging to use the app/site

EITHER STRUCTURE

What it would look like

- **Freemium:** plan free, "premium" extras \$5-15/mo or ~\$99-195/yr (AI Ready Veteran charges ~\$195/yr).
- **One-time unlock:** \$29-49 for a "pro" tier.
- **Optional support:** "pay it forward - fund a veteran's gameplan" donation button. Keeps the rule intact.

The honest math

- Benchmark freemium conversion is 2-5%. At \$10/mo you need **~2,000-5,000 active free users to make \$5-15k/yr**. We have a pilot group.
- Most of our landscape is free (MyVetBENEFITS, Battle Buddy, PATRIOTlink, VA itself). Paid puts us on the wrong side of our own comparison table.

Recommendation: rule this out as a primary stream. "Free for veterans, always" is the wedge, the trust position, and the funder pitch. The only version worth keeping is the optional donation button and - much later, maybe - paid concierge facilitation for organizations, which is really Option D wearing a different hat.

4 Option C - Government pays, so veterans don't (DoD, VA, states)

Route	Real numbers (published)	The catch	Realistic for us
DoD SBIR / STTR FP ONLY	Phase I \$50k-275k (feasibility); Phase II \$500k-1.8M . DoD awards \$1.8B+/yr - the largest program. Open topics fit dual-use tools like transition tech.	Requires a for-profit small business, SAM.gov registration, and 6-12 months from proposal to first dollar. Competitive but genuinely winnable for a working product with a veteran founder story.	\$75-250k Phase I, 12-18 mo out - the strongest argument for the for-profit path
Direct DoD / TAP adoption	TAP itself is government-run and delivered by large prime contractors. Direct adoption would be a subcontract or multi-year procurement.	The slowest door in this document. Not a plan for the next two years; a possibility after scale + past performance.	\$0 near-term
VA prize competitions	VA has run innovation challenges with prize pools in the \$250k-3M range (e.g. Mission Daybreak class).	Episodic - you enter what exists when it exists. Cheap to enter with a working product; also a credibility stamp.	\$10-100k if a fitting challenge opens

State / county contracts USUALLY NP	State agencies grant to service orgs (see TVC above); counties fund veteran service offices that could license a tool for their caseload.	Sales cycle through Frank-style relationships; small individual checks (\$2-10k/county/yr placeholder) but they stack and renew.	\$10-50k/yr year 2+
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5 Option D - The models not yet on your whiteboard

Model	How it works	Placeholder pricing	Realistic for us
Organization licensing (the Combined Arms-adjacent play)	VSOs, university veteran success centers, workforce boards, and employer ERGs license VetPath for the veterans they already serve. They pay; the veteran never does. Fits our "be the planning layer, partner with directories" strategy exactly.	\$3-15k/yr per org	5-10 orgs = \$25-100k/yr by year 2-3
Employer-side hiring revenue	Veteran-hungry employers pay for presence in the career tracks (postings, apprenticeship pipelines, "hiring now" tags). Veterans stay free; employers pay for reach. Opt-in introductions only.	\$500-2k/posting or \$5-25k/yr partner	\$10-50k/yr at modest traffic
White-label instances	A state agency or large VSO runs a branded VetPath for its population. One anchor deal can carry a year.	\$25-100k/yr per instance	0-1 deals; year 3 ambition
Sponsored facilitation events	Transition workshops at bases, VSO halls, employers - built on Frank's meeting format; a sponsor underwrites each event.	\$2-10k/event	\$5-30k/yr, startable now

Red lines - money we don't take, in writing: no selling or sharing veteran data; no referral fees from lenders, insurance, or paid claims consultants (the claims-shark boundary already in our compliance rules); no ad networks. Every one of these converts the trust position into inventory. The entire moat is "every number has a source and nobody is selling you anything."

6 Three ways to put it together (placeholder scenarios)

Path	Sequence	Year 1	Year 2	Year 3
Nonprofit classic NP	Fiscal sponsor now → pilot with countable outcomes → file 1023 → TVC/state grants + one foundation grant + org licensing + sponsorships.	\$10-30k	\$100-250k	\$250-500k
For-profit, B2B/B2G pays FP	LLC now → SBIR Phase I proposal + org licensing + employer side. Veterans still free. Grants door mostly closed.	\$5-100k (swings on SBIR)	\$100-400k (Phase II swing)	\$200-600k
Hybrid, decided later BOTH	Fiscal sponsorship for donations now + keep the entity question open until after the pilot; form whichever the pilot evidence favors; add the second arm only if a specific check requires it.	\$10-30k	\$75-250k	depends on fork

Cost side, for contrast: today's run rate is roughly \$0/month (free hosting and database tiers) plus a domain. First real costs are entity + legal + email infrastructure (~\$1-3k), then paid time. Every scenario above clears that bar by year 2.

7 The maximum-income path (if the goal is to make as much as possible)

Everything above answers "how does it sustain itself." This section answers a different question: **how do the founders make the most money.** Two facts change the whole board. First, this is static software on free-tier infrastructure - gross margin on anything sold is already 85-95%, so there is no margin problem to fix, only a scale and ownership problem. Second, nonprofit assets are legally locked to the mission: a 501(c)(3) can pay salaries but never builds founder equity or exit value. **If maximum income is the goal, the entity answer is for-profit, full stop** - and veterans still never pay, because the free product is the customer-acquisition machine, not the merchandise.

The two revenue engines, plus one stabilizer

Engine	Why it pays	Placeholder economics
1. Employer demand side - veteran hiring pipelines	Veteran hiring is a paid problem with established price points: pipeline services run \$10-30k/yr; staffing placement fees run \$3-10k per hire. VetPath holds what recruiters cannot buy - veterans at the decision moment, with a stated direction, salary target, timeline, and location. Opt-in introductions only; the veteran experience stays clean.	10 partners × \$10-25k/yr = \$100-250k/yr near-zero incremental cost
2. The SBIR ladder FP ONLY	Phase I funds adapting VetPath to a DoD use case (Guard/Reserve retention, SkillBridge matching). Phase II scales it. The real prize is Phase III: sole-source follow-on contracts, uncapped, no competitive bid - the legitimate version of "DoD pays so veterans don't." Non-dilutive: founders keep 100%.	Phase I \$75-250k Phase II \$500k-1.8M Phase III uncapped
3. White-label anchors (stabilizer)	One or two branded instances for a state agency or large VSO steady the base while the engines spin up.	1-2 × \$50-100k/yr

Protecting the margin you already have

- **No paid advertising.** Distribution is Frank's network, VSO partnerships, and search. Paid media is the classic margin-killer for products like this.
- **No services creep.** Facilitation events sell hours at consulting margins - run them only as sales pipeline for employer and white-label deals, never as the product.
- **The trust brand is the inventory.** The pitch to every payer is "we bring you the veterans' trust." Anything that visibly monetizes individual veterans liquidates the asset for scrap value - see the red lines in section 5, which hold even under a pure profit lens. Lead-gen from lenders, insurers, and claims consultants pays the most per user precisely because it costs the most in trust.

Max-income ramp	Year 1	Year 2	Year 3	Endgame
Revenue (placeholder) 80-90% gross margin, team you can count on one hand	\$25-150k swings on SBIR Phase I	\$150-500k	\$500k-1.5M	The wealth outcome is enterprise value, not annual profit: veteran-talent platforms with real audiences are acquired by staffing firms, HR-tech companies, and defense-services primes. The free-user base and the trust brand are what an acquirer pays for.

Frank-compatibility check: this path never charges a veteran a dollar. "Free for veterans, always" survives intact - the business sells access to demand (employers, DoD, institutions), not access to veterans. The rule and the money are not in tension; that is the cleanest thing about this option.

8 The five questions that decide it (for the Frank conversation)

- **1. Do any of these paths require charging veterans?** No. So the rule survives every option - that debate is closed.
- **2. Do we ever want equity investors?** Yes → for-profit or hybrid. Never → nonprofit and stop thinking about it.
- **3. Do we want grant money within ~18 months?** Yes → fiscal sponsorship this quarter, 501(c)(3) after the pilot.

- **4. Is DoD/SBIR a serious ambition or a someday?** Serious → that is the one strong argument for for-profit. Someday → it shouldn't drive the structure.
- **5. Who owns this in ten years?** Founders own an asset → for-profit. The mission owns itself → nonprofit.

The honest read of the board: the two paths now on the table are really one question - what is this for? If the goal is **sustainability and maximum grant access**, the funder landscape (state funds, foundations, corporate giving) tilts toward the nonprofit path, entered via fiscal sponsorship now. If the goal is **maximum founder income**, section 7 is the path: for-profit, employer + SBIR engines, veterans still free. Both keep the free-for-veterans rule intact, so that debate is closed either way. Decide the goal Saturday; the structure follows from it in one step.

Planning document with placeholder estimates - not legal, tax, or investment advice; engage an attorney and CPA before forming any entity. Published figures as of August 2026: Bob Woodruff Foundation grant ranges and eligibility (bobwoodrufffoundation.org), Texas Veterans Commission Fund for Veterans' Assistance award examples (tvc.texas.gov, gov.texas.gov announcements), VA SSG Fox SPGP award cap (news.va.gov, federalregister.gov), DoD SBIR/STTR phase amounts (dodsbirsttr.mil program norms). All "realistic for us" columns are VetPath planning placeholders, not commitments or predictions. VetPath is a planning & education tool - not the VA, a law firm, or an accredited claims representative.